

THE RATTY2TAILS PAPERS

The Cantillon Effect

*How new money finds the rich before it finds anyone
else*



Ratty2Tails

MONETARY HISTORY SERIES

On the non-neutrality of money, from the gold mine to the balance sheet

MONETARY HISTORY SERIES

The Cantillon Effect

Why the rich get richer and the poor get poorer — and why it isn't an accident

TL;DR

- In 1755 the Irish-French financier Richard Cantillon showed that new money never arrives everywhere at once — it enters an economy at a specific point and radiates outward, and prices rise unevenly as it spreads.
- Whoever receives new money first can spend or invest it at yesterday's prices; whoever receives it last — typically wage earners and cash savers — pays tomorrow's higher prices out of an income that hasn't caught up.
- Since 2008, central bank bond-buying ("quantitative easing") has been the main channel through which new money has entered the major economies, and it enters directly into financial markets — the asset class most heavily owned by the wealthiest households.
- Bank of England and US Federal Reserve data confirm that ownership of the assets QE inflates most — equities, bonds, property — remains heavily concentrated at the top, and that concentration has, on the whole, widened rather than narrowed since the financial crisis.
- The picture isn't a simple morality tale: central banks argue the alternative — a much deeper recession — would have hurt the poor even more, and newer academic work shows the winners and losers of monetary policy don't split neatly along income lines.
- The Cantillon effect is best understood as a structural feature of how money is created and distributed, not a conspiracy — but it does mean the institution standing closest to the point where new money enters the system has an advantage nobody voted for.

INTRODUCTION & SCOPE

A

sk why house prices in London or Sydney have drifted loose from local wages, or why a decade and a half of near-zero interest rates and trillions in central bank asset purchases produced a booming stock market while median pay barely kept pace with the cost of a weekly shop, and you will usually be offered

one of two stories. The first is a story about supply: not enough houses, not enough productivity growth, not enough competition. The second is a story about greed: landlords, bankers and asset managers helping themselves. Both stories contain some truth, but neither explains the mechanism — the actual plumbing through which newly created money moves from a central bank's balance sheet into somebody's pocket, and why it reliably reaches some pockets years before it reaches others, if it reaches them at all.

That mechanism has a name, and it is considerably older than quantitative easing, central banking, or even paper money. It is the Cantillon effect, named for an eighteenth-century Irish-French banker who noticed, while the rest of the economics profession was still assuming money was a kind of neutral veil over the "real" economy, that *where* new money enters a system determines who benefits from it — and that the answer is almost never "everyone, equally, at the same time."

This essay sets out that argument in full. It begins with Richard Cantillon himself and the gold-mine thought experiment through which he first described the non-neutrality of money. It then generalises his mechanism — the distinction between "first receivers" and "last receivers" of new money — before tracing how that mechanism operates in a modern fiat system built on central bank reserves and asset purchases rather than gold and silver mines. It reviews the empirical record since the 2008 financial crisis, including the Bank of England's own research into the distributional effects of its bond-buying programme, and it takes seriously the strongest objections to the popular version of this story, because the honest version of the Cantillon effect is more interesting, and more useful, than the meme. It closes with a brief look at what changes when the "mine" in question has a fixed, algorithmically enforced output, as Bitcoin's does, and what does not.

SECTION ONE

Richard Cantillon and the Discovery of Non-Neutral Money

Richard Cantillon is one of economics' odder founding figures, in that he became rich enough to write about political economy at leisure by first making a fortune speculating against John Law's Mississippi Company — the same paper-

money bubble that would later serve generations of economists as the textbook cautionary tale about what happens when a state prints its way out of a debt crisis. Cantillon watched the scheme collapse from the position of a man who had bet against it, then wrote up what he had learned about money, credit and prices in a manuscript titled *Essai sur la Nature du Commerce en Général* — An Essay on the Nature of Trade in General — which circulated privately for decades before its eventual publication in 1755, sixteen years after his death.

Buried inside that essay is a thought experiment that quietly undermines a comforting assumption most people still make about inflation: that if the money supply doubles, prices simply double along with it, uniformly, leaving everyone's relative position unchanged. Cantillon's version of the experiment involved a gold mine. Suppose new gold is discovered within a country. The mine's owner, its managers and its labourers are the first to receive the new money, and they behave exactly as anyone would: they spend it, disproportionately on the things people spend a windfall on — better meat, better wine, finer clothes, more building work. That extra spending raises prices for butchers, vintners, tailors and builders in the mining town, who now have higher incomes of their own and start spending more in turn. The effect ripples outward through the economy in concentric rings, and — this is Cantillon's crucial move — the price rises reach each ring later, and to a different degree, than the last. Someone living several towns away, whose wages were fixed by an arrangement made before any of this began, eventually finds that the price of bread has risen because of demand transmitted from the mining district, while his own income has not moved at all. He is poorer in real terms, purely because of where he happened to stand relative to the new money, with no change whatsoever in what he produces or how hard he works.

This is the seed of everything that follows: money is not neutral, because money does not arrive by parachute, evenly distributed across every wallet in the economy. It arrives at a point, and it has to travel from that point to everywhere else, and travelling takes time — and different people stand at different distances from the point of arrival.

ASIDE — CANTILLON'S OWN CANTILLON EFFECT

There is a nice irony in Cantillon's biography that he never wrote about directly: he understood the mechanism so well partly because he had exploited a version of it himself, using early access to information about the Mississippi and South Sea bubbles to position his own capital ahead of the crowd. The theorist of first-receiver advantage was, by trade, a first receiver.

SECTION TWO

The Order of Arrival

Generalise Cantillon's gold mine and you arrive at what economists now call first-receiver and last-receiver effects. A first receiver is anyone positioned to obtain newly created money before the general price level has adjusted to reflect it. A last receiver is anyone who only sees the new money after it has already worked its way through several rounds of spending, by which point the prices of the things they need to buy have risen to reflect the extra money already in circulation. Between those two positions lies the entire distributional consequence of monetary expansion.

The mechanism does not require a villain. First receivers do not need to conspire, or even to be aware of their position; they simply do what anyone does with money that has more purchasing power today than it will have in six months — they spend or invest it now, at today's prices — and by the time competing bids from everyone else further down the chain have pushed prices up, the first receivers have already locked in their purchase, their asset, or their higher relative income. Everyone downstream of them experiences the arrival of the new money only as a rise in the prices they face, because the round of spending that constituted "new money" to the first receiver has already become, for them, simply demand for the goods and assets they were trying to buy anyway.

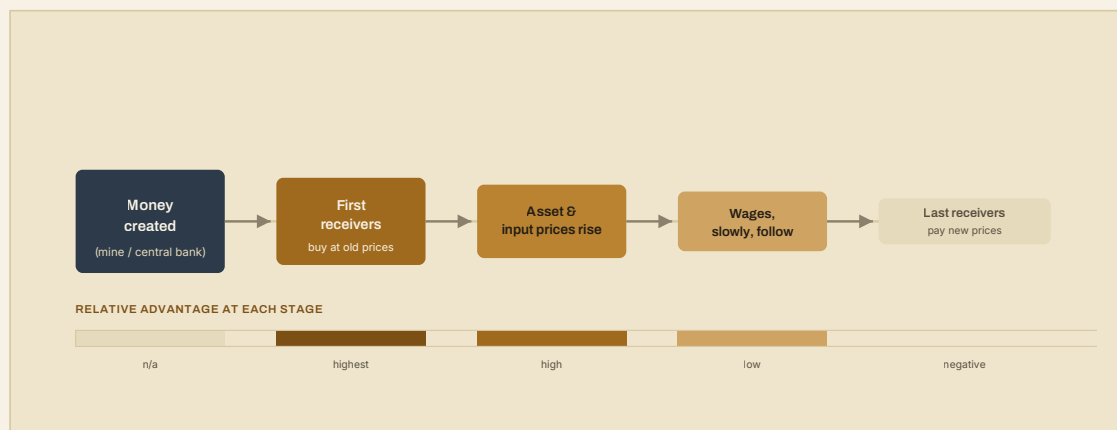


Figure 1. The order of arrival. New money is created at a single point and diffuses outward through successive rounds of spending; each stage receives it later than the one before, and by the time it reaches the last receivers, most of the corresponding price rise has already happened.

Economists sometimes describe the result as a tax nobody voted for: the state, or in a fiat system the central bank acting as the state's monetary agent, can quietly transfer real purchasing power from the last receivers to the first receivers simply by choosing where new money enters the system, without a single line of tax legislation being written. Whether that transfer is large or small, and who exactly counts as a "first" or "last" receiver, depends entirely on the institutional plumbing of the monetary system in question — which is precisely why the shape of the Cantillon effect looks so different in an eighteenth-century economy built on mined silver than it does in a twenty-first-century economy built on central bank reserves.

SECTION THREE

From Gold Mines to Printing Presses: the Modern Channel

Modern monetary expansion has almost nothing to do with mining. Central banks do not physically print most of the money they create; the overwhelming majority of it exists as electronic reserve balances, created when a central bank buys a financial asset — usually a government bond, sometimes a corporate bond or mortgage-backed security — from a bank or other financial institution. This is quantitative easing, and it has been the dominant channel through which large-scale monetary expansion has occurred in the major economies since 2008: the US Federal Reserve, the Bank of England, the European Central

Bank and the Bank of Japan have between them purchased trillions of dollars, pounds, euros and yen of financial assets over the past decade and a half, crediting the sellers' accounts with newly created reserves in exchange.

Ask, in Cantillon's terms, who the first receivers of that new money are, and the answer follows directly from how the mechanism works: they are the institutions that already hold large, liquid portfolios of exactly the assets a central bank chooses to buy. Primary dealer banks, pension funds, insurance companies, hedge funds and other institutional investors sell bonds directly to the central bank and receive freshly created reserves in return; they then redeploy that money into other assets — equities, corporate credit, property, private equity — bidding up the price of whatever they buy next. Large corporations with ready access to capital markets can refinance cheaply and use the proceeds to expand, buy back shares, or acquire competitors, all before higher demand for labour and materials has fed through into wages and consumer prices. None of this requires a conspiracy. It requires only that a central bank's operational counterparties — by design, the institutions with balance sheets large enough and liquid enough to transact directly with a central bank — are overwhelmingly the same institutions, and the same class of households, that already hold most of the financial wealth in the economy.

The eighteenth-century mine owner and the twenty-first-century primary dealer occupy structurally the same position: both are simply closer, in an institutional sense, to the point where new money enters the system than everyone else is.

SECTION FOUR

Following the Money Since 2008: What the Data Show

None of this would matter much if it turned out to be a purely theoretical curiosity, so it is worth asking what the empirical record actually shows. The most direct evidence comes from central banks' own research into the distributional consequences of their bond-buying programmes.

In 2012, the Bank of England published its own assessment of the first £375 billion of quantitative easing, and found that while the policy had indeed pushed up a wide range of asset prices — not just the government bonds it purchased

directly, but corporate bonds and equities too — the resulting increase in household financial wealth was heavily skewed: the wealthiest 5 per cent of households held around 40 per cent of the financial wealth held outside pension funds that stood to benefit. Campaigners citing that research in evidence to a House of Lords committee went further, estimating that the richest tenth of households gained over a hundred times more, in cash terms, from the wealth effects of the first round of QE than the poorest tenth — a comparison the Bank of England's own leadership has disputed, arguing that it ignores QE's role in supporting employment and incomes for people who hold few financial assets at all (see Section Six). The European Central Bank's own analysis of its euro-zone asset-purchase programme found a broadly similar pattern: the wealthiest households benefited disproportionately from the resulting rise in asset prices, precisely because financial assets are held so unevenly to begin with.

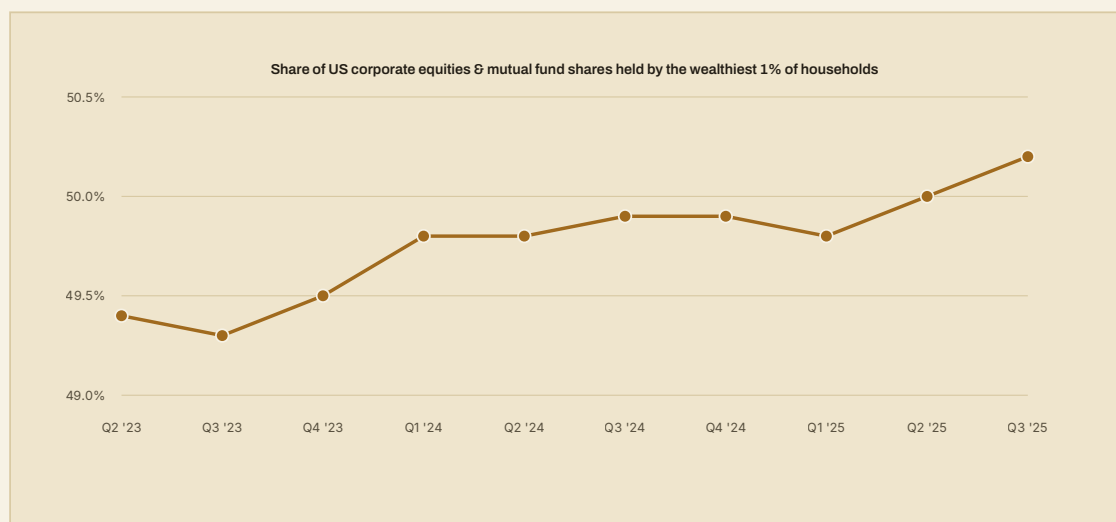


Figure 2. Percentage of all US corporate equities and mutual fund shares owned by the top 1 per cent of households by net worth, 2023–2025. Source: US Federal Reserve, Distributional Financial Accounts (series WFRBST01122), via FRED.

More recent data reinforce the picture without needing to rely on any particular interpretation of QE's causal role. The Federal Reserve's Distributional Financial Accounts — which track exactly who owns what across the American household wealth distribution — show that the wealthiest 1 per cent of households held roughly 49.4 per cent of all corporate equities and mutual fund shares in the second quarter of 2023, a share that had risen to just over 50 per cent by the third quarter of 2025 (Figure 2). Over a similar window, the wealthiest 0.1 per cent of households saw their share of total US household net worth rise from 13.6 per cent at the end of 2023 to 14.0 per cent a year later. These figures do not, on their own, prove that quantitative easing caused rising con-

centration — plenty of other forces were also at work over this period — but they are entirely consistent with what the Cantillon effect predicts: when new money is injected primarily into financial markets, and financial markets are already owned overwhelmingly by a small fraction of households, that fraction tends to end up owning a larger share still.

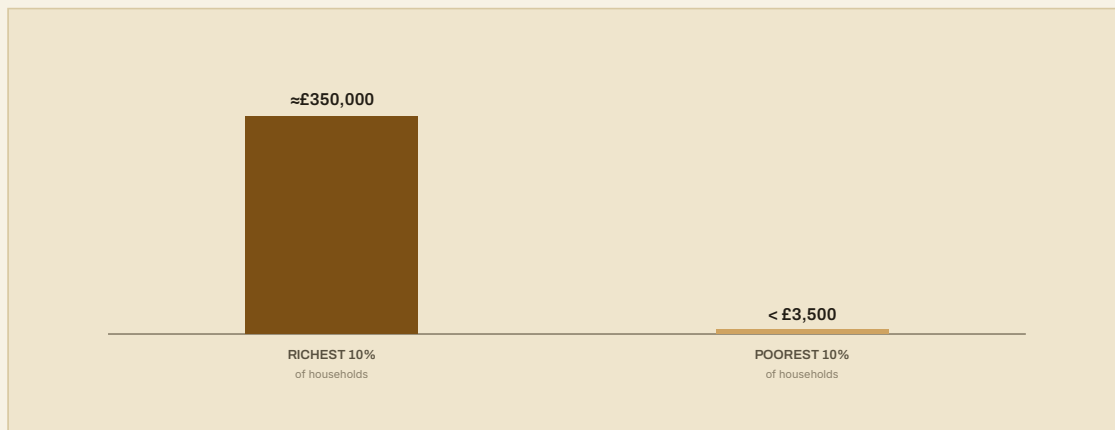


Figure 3. Illustrative comparison of estimated cash-terms wealth gains from the Bank of England's first round of quantitative easing (2009), based on a "more than 100 times" ratio cited by Positive Money in evidence to the House of Lords Economic Affairs Committee. Not a Bank of England estimate; the Bank disputes this framing — see Section Six.

SECTION FIVE

Why Wages Lag While Assets Lead

Part of what makes the Cantillon effect so persistent in modern economies is a structural asymmetry in how quickly different kinds of prices adjust. Financial asset prices are continuously quoted, forward-looking, and endlessly re-priced by markets that trade in fractions of a second; the moment a central bank signals it will buy bonds, or has already started, expectations of future asset prices adjust almost immediately, and actual prices follow within hours or days. Wages behave nothing like this. Most employees are paid under contracts or informal arrangements renegotiated, at best, once a year; many workers, particularly those with weak bargaining power, go years without a real increase in pay regardless of what is happening to the money supply. Consumer prices sit somewhere in between: retailers reprice more often than employers repay wages, but far less often than a bond desk reprices a government security.

The practical consequence is that new money shows up in the price of a share portfolio or a house long before it shows up in a payslip. A household whose wealth consists mainly of financial assets and property experiences monetary expansion as a capital gain, often within months. A household whose wealth consists mainly of a wage and a bank balance experiences the same monetary expansion, months or years later, as a rise in the cost of rent, groceries and childcare, unaccompanied by any corresponding rise in income – precisely the last-receiver position Cantillon described, translated into modern institutions. This is also why housing sits at the centre of so many popular grievances about inflation and inequality: property is simultaneously a financial asset, which re-prices quickly in response to lower interest rates and abundant credit, and a basic necessity, which ordinary households need to buy or rent regardless of how the asset-price side of the ledger is moving. Few markets illustrate the gap between first receivers and last receivers as starkly as a housing market where the asset has become unaffordable to buy at exactly the moment renting it has become unaffordable too.

SECTION SIX

Counterarguments and Honest Caveats

It would be intellectually dishonest to present the Cantillon effect as a settled, universally accepted explanation for rising wealth inequality, and the strongest objections deserve a fair hearing.

The Bank of England's own position is that the distributional critique of QE, while not wrong about asset prices, tells only half the story. The Bank argues that without QE and the interest-rate cuts that accompanied it, the 2008–09 recession would have been considerably deeper and longer, destroying more jobs and incomes across the wealth distribution – particularly for working-age households who depend on employment rather than financial assets. On the Bank's own account, published on its website, older people who tend to hold more financial assets gained the most from rising wealth, but those of working age benefited most from the support QE gave to jobs and earnings, and the combined effect across income and wealth channels did not increase overall inequality. On this view, the relevant comparison is not "QE versus no monetary policy response," in which the wealthy clearly gain disproportionately, but "QE versus a much worse recession," in which the employment effects plausibly be-

nefited the majority. Some empirical studies, including work reviewed by the Institute for New Economic Thinking, have likewise found more mixed or ambiguous effects of QE on income inequality specifically, as distinct from wealth inequality, once employment channels are taken into account.

A separate and more technical objection comes from newer academic work on the "redistribution channels" of monetary policy, most notably research by the economist Adrien Auclert. That work shows that who wins and who loses from a change in interest rates or asset prices depends on a household's specific financial position — whether it holds fixed-rate or variable-rate debt, whether its income is exposed to the business cycle, whether it is a net saver or a net borrower — and these positions cut across income and wealth lines in complicated ways. A heavily indebted, middle-income homeowner with a variable-rate mortgage can benefit substantially from lower rates; an elderly saver living on the interest from a modest bank deposit, who might otherwise be assumed comfortable relative to a young renter, can be made worse off. The simple story of "the rich win, the poor lose" captures a real and structural first-order effect — where new money enters the system does matter, systematically, and the evidence in Section Four shows it — but it understates how much variation exists within income and wealth groups. What survives the caveats is the more modest, more falsifiable claim underneath: that institutional proximity to the point of monetary injection, not virtue, vice, or income as such, is what determines who benefits first.

POSITION	CORE CLAIM
Cantillon / Austrian tradition	New money is non-neutral; proximity to its point of entry systematically favours asset-holding institutions over wage earners.
Bank of England	Wealth effects are real but partial; combined with employment effects, QE did not increase overall inequality relative to a no-QE counterfactual.
Auclert / redistribution-channel literature	Winners and losers depend on debtor/creditor position and income exposure, not income level alone — the effect is real but not simply "rich vs poor."

SECTION SEVEN

The Bitcoin Rejoinder

It is worth asking, finally, what happens to the Cantillon effect when the "mine" cannot be adjusted at anyone's discretion at all. Bitcoin's issuance schedule is fixed in advance, enforced by the software every participant in the network runs rather than by the judgement of a committee: new coins are created at a predetermined, disinflationary rate, awarded to whichever miners successfully validate the next block, with no central authority able to decide that this bank or that bondholder should receive newly created units ahead of anyone else. There is no primary dealer relationship, no asset-purchase counterparty list, no discretionary channel through which an institution can position itself to be first in line, because there is no discretion to position oneself in front of.

This does not mean Bitcoin is immune to Cantillon-style dynamics; it means the dynamic is concentrated entirely at issuance rather than recurring indefinitely at the whim of a policy committee. The miners and early adopters of roughly 2009 to 2012 were, in a real sense, the first receivers of a currency then worth very little, and they benefited enormously as adoption and price rose over the following decade — an echo of Cantillon's own gold-mine logic, playing out among a small, self-selected group rather than a country's banking system. What changes afterwards is structural: once issued according to a fixed, publicly known schedule, no institution, however large, can obtain new bitcoin more cheaply than the prevailing market price simply by being a counterparty of choice to a central authority, because no such authority exists to choose one. Whether a monetary system built this way is better on balance is a separate question from the one this essay set out to answer; what can be said with more confidence is that it represents a genuinely different answer to the question Cantillon first posed in 1755 — who gets the new money first, and why — rather than a repetition of the old one with better technology.

SUMMARY

In Short

Richard Cantillon's central insight has outlived gold mines, silver coinage, and the Mississippi Company that made and then unmade his fortune: money is not a neutral veil that changes all prices equally and leaves relative positions untouched. It enters an economy at a specific point, and the people and institutions closest to that point — whoever or whatever they happen to be in a given era — get to spend or invest it before the rest of the economy has adjusted to its existence. In the twenty-first century, that point of entry runs through central bank asset purchases and the institutions positioned to transact directly with central banks, and the assets those purchases inflate most directly — equities, bonds, property — are owned overwhelmingly by households already at the top of the wealth distribution. The data since 2008 are consistent with exactly this mechanism, even if they do not, on their own, settle every argument about QE's net effect on inequality once employment and income channels are included.

None of this requires believing in a conspiracy, and the strongest version of the argument does not depend on one: it depends only on the observation that new money has to enter the economy somewhere, that wherever it enters confers a timing advantage on whoever stands there, and that in a modern financial system, the institutions standing there are, disproportionately, already wealthy. Understanding the Cantillon effect does not by itself tell you what, if anything, should be done about it — reasonable people disagree sharply on that question, from redesigning the channels through which central bank money reaches the economy, to changing the institutions of money creation altogether. But it does mean that any honest account of why the rich get richer and the poor get poorer has to start with the plumbing, not just the politics.

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